CASCADIA ANALYTICS

INVESTMENT SCORECARD

POWW

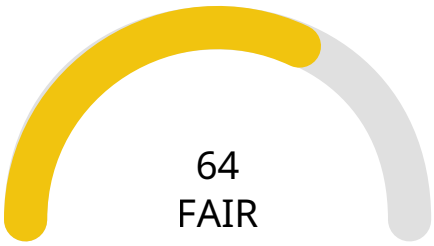
Outdoor Holding Company (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q1 FY27 (10-Q) | Currency: USD

$2.46 [Mkt 23-Oct-26]

Market Cap: $274M [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 68

GunBroker.com is the dominant online firearms marketplace with real network effects, 85%+ gross margins, asset-light economics, ~$66M cash and near-zero debt (D/E 0.04). Scale is the knock: ~$53M annual revenue is tiny.

2. Recent Trend — 78

Genuinely improving: revenue +21.7% YoY, GMV +18.1%, adjusted EBITDA +152% to a record $7.9M, net income flipped from a $6.5M loss to +$3.6M, operating cash flow turned positive $4.4M. Broad-based, per management.

3. Forward Growth — 60

FFL transfer fees and take-rate expansion are new, real revenue streams; payments processing is next. But growth rides on NICS demand cycles, the Virginia pull-forward was explicitly one-off, and only 4 analysts cover the name.

4. Valuation — 57

Trailing P/E 72.7x looks scary but earnings are off a depressed base; P/S 5.0x on $51M sales, EV roughly 3.5x ex-cash. Our DCF base $3.34 implies +36% upside and even the bear $2.20 sits above the $2.46 price. The market is pricing pessimism.

5. Catalysts & Risk — 55

Q2 earnings Nov 16 and the FFL/payment rollout are positive catalysts; the $15M buyback is a real signal. But liquidity is thin (~$1.2M daily), gun demand is cyclical, holders are concentrated

(Balentine 14.9%), and the litigation-to-transformation history is short.

Investment Thesis

- **Pure-Play Marketplace Now:** Note the old ammo profile is gone: AMMO Inc. sold its ammunition division to Olin-Winchester for $75M in Aug 2025 and rebranded as Outdoor Holding Company. What remains is GunBroker.com, the largest online firearms marketplace [8-K].
- **Real Turnaround Numbers:** Q1 FY27: revenue +21.7% to $14.48M, adjusted EBITDA +152% to a record $7.9M, net income +$3.6M, operating cash flow +$4.4M, gross margin ~85% [8-K]. Management cut $6.7M of quarterly opex in the transformation.
- **Market Prices Pessimism:** At $2.46 [Mkt 17-Oct-26], the reverse DCF implies -0.4% CAGR, decline priced in. Our DCF base is $3.34 (+36% upside) with the bear case $2.20 essentially at the price. Small-cap skepticism on liquidity is warranted, but the gap is real.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q1 FY27)	$14.48M [8-K]	+21.7% [8-K]	Up
Adjusted EBITDA (Q1 FY27)	$7.9M [8-K]	+152% [8-K]	Up
Net Income (Q1 FY27)	$3.57M [8-K]	vs -$6.46M loss [8-K]	Up
GMV (Q1 FY27)	$223.7M [8-K]	+18.1% [8-K]	Up
Operating Cash Flow (Q1 FY27)	$4.4M [8-K]	vs -$6.7M deficit [8-K]	Up
Covering Analysts	4 [Cons]	avg target $2.63 [Cons]	Flat

Historical Financial Trend

Metric	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27
Revenue	$11.9M [8-K]	$12.0M [8-K]	$13.4M [8-K]	$13.9M [8-K]	$14.5M [8-K]
Net Income	-$6.5M [8-K]	+$1.4M [8-K]	+$2.2M [8-K]	-$0.7M [8-K]	+3.6M [8-K]
Adjusted EBITDA	$3.1M [8-K]	n/a [n/a]	n/a [n/a]	n/a [n/a]	$7.9M [8-K]

Valuation

Absolute (6/10)

P/E (trailing) 72.7x [Mkt 17-Oct-26]
P/S 5.0x, P/B 1.1x [Mkt 17-Oct-26]
DCF Base $3.34, +36% upside [DCF]

Trailing P/E is meaningless off a depressed base; EV is ~3.5x sales ex-cash. The DCF says the price undervalues even a modest take-rate expansion.

Versus Peers (5/8)

4 analysts, avg target $2.63, Moderate Buy [Cons]
AOUT is the closest peer (manufacturer, different model)

No pure-play online firearms marketplace comp exists; analyst coverage is thin but constructive, with targets ~16% above the price.

Versus History (5/7)

52wk range $1.49-$2.67 [Mkt 17-Oct-26]
+42% over 1 year; -44% since 2017 listing

The name has recovered from the transformation lows but remains well below its listing price, reflecting the long dilution of the old ammo business.

Catalyst Timeline

16-Nov-2026 [8-K]
Q2 FY27 Earnings (Positive): Q1 beat with +22% revenue and record adjusted EBITDA $7.9M; watch for continued GMV and take-rate expansion.

FY2027 [8-K]
FFL Transfer Revenue (Positive): New fee stream launched at start of FY27, already contributing to take rate in its first quarter.

FY2027 [8-K]
Buyback Program (Two-Sided): $15M

Top Risk Factors (Item 1A)

1. Cyclical Demand: GunBroker revenue moves with firearm demand and NICS checks. The Virginia legislation pull-forward was explicitly described by management as a one-off that will not repeat in Q2 FY27. [8-K]

2. Thin Liquidity: Average daily traded value is only ~$1.2M, and institutional ownership is concentrated (Balentine 14.9%, Kanen 9.9%). Building or exiting a meaningful position moves the price. [Mkt 17-Oct-26]

3. Short Transformation History: The company sold its ammo division in Aug 2025, settled Delaware litigation, and replaced leadership. The

> authorization (up to 7.7% of shares); signals management views shares as cheap but consumes cash.

What Would Change Our Score

Q2 FY27 earnings on Nov 16, 2026 are the next test: another quarter of 15-20% GMV growth with rising take rate would pull the price toward the $3.34 DCF base. A NICS slowdown or a stalled FFL/payment rollout would compress the growth story back toward the bear case.

pure-play marketplace story is barely a year old, with warrants and promissory notes still outstanding from the settlement. [8-K]

Forward Growth Drivers

- GunBroker.com dominance: largest online firearms marketplace, firearm units sold +11.6% vs NICS +5.3% [8-K]
- New FFL transfer fee revenue stream launched FY2027, plus take-rate expansion on seller services [8-K]
- Asset-light marketplace at 85%+ gross margins with ~$66M cash and minimal debt [8-K]

Missing / Modified Data Log

- Latest-quarter cash balance not disclosed in available sources; $65.7M figure is Sep 30, 2025.
- Forward revenue estimates from the 4 covering analysts not independently verified.
- Q3/Q4 FY26 gross margins per AltIndex looked inconsistent (60.0%); used company press-release margins instead.
- Peer multiples for AOUT not sourced; peers scored qualitatively on limited comp set.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

Not financial advice. For educational purposes only. Do your own research.